

1 **HOUSE OF REPRESENTATIVES - FLOOR VERSION**

2 STATE OF OKLAHOMA

3 2nd Session of the 60th Legislature (2026)

4 ENGROSSED SENATE
5 BILL NO. 1400

By: Rader of the Senate

and

Pae of the House

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12 An Act relating to sales tax; amending 68 O.S. 2021,
13 Sections 1357, as last amended by Section 1, Chapter
14 391, O.S.L. 2025, and 1357.5 (68 O.S. Supp. 2025,
15 Section 1357), which relate to exemptions; combining
16 certain exemptions for aircraft maintenance and
17 manufacturing facilities and certain aircraft parts;
18 modifying certain exemptions; updating statutory
19 reference; updating statutory language; and providing
20 an effective date.

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22 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:
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1 SECTION 1. AMENDATORY 68 O.S. 2021, Section 1357, as
2 last amended by Section 1, Chapter 391, O.S.L. 2025 (68 O.S. Supp.
3 2025, Section 1357), is amended to read as follows:

4 Section 1357. Exemptions - General.

5 There are hereby specifically exempted from the tax levied by
6 the Oklahoma Sales Tax Code:

7 1. Transportation of school pupils to and from elementary
8 schools or high schools in motor or other vehicles;

9 2. Transportation of persons where the fare of each person does
10 not exceed One Dollar (\$1.00), or local transportation of persons
11 within the corporate limits of a municipality except by taxicabs;

12 3. Sales for resale to persons engaged in the business of
13 reselling the articles purchased, whether within or without the
14 state, provided that such sales to residents of this state are made
15 to persons to whom sales tax permits have been issued as provided in
16 the Oklahoma Sales Tax Code. This exemption shall not apply to the
17 sales of articles made to persons holding permits when such persons
18 purchase items for their use and which they are not regularly
19 engaged in the business of reselling; neither shall this exemption
20 apply to sales of tangible personal property to peddlers, solicitors
21 and other salespersons who do not have an established place of
22 business and a sales tax permit. The exemption provided by this
23 paragraph shall apply to sales of motor fuel or diesel fuel to a
24 Group Five vendor, but the use of such motor fuel or diesel fuel by

1 the Group Five vendor shall not be exempt from the tax levied by the
2 Oklahoma Sales Tax Code. The purchase of motor fuel or diesel fuel
3 is exempt from sales tax when the motor fuel is for shipment outside
4 this state and consumed by a common carrier by rail in the conduct
5 of its business. The sales tax shall apply to the purchase of motor
6 fuel or diesel fuel in Oklahoma by a common carrier by rail when
7 such motor fuel is purchased for fueling, within this state, of any
8 locomotive or other motorized flanged wheel equipment;

9 4. Sales of advertising space in newspapers and periodicals;

10 5. Sales of programs relating to sporting and entertainment
11 events, and sales of advertising on billboards ~~(including,~~ including
12 signage, posters, panels, marquees or on other similar surfaces,
13 whether indoors or ~~outdoors)~~ outdoors, or in programs relating to
14 sporting and entertainment events, and sales of any advertising, to
15 be displayed at or in connection with a sporting event, via the
16 Internet, electronic display devices or through public address or
17 broadcast systems. The exemption authorized by this paragraph shall
18 be effective for all sales made on or after January 1, 2001;

19 6. Sales of any advertising, other than the advertising
20 described by paragraph 5 of this section, via the Internet,
21 electronic display devices or through the electronic media including
22 radio, public address or broadcast systems, television ~~(whether,~~
23 whether through closed circuit broadcasting systems or ~~otherwise)~~

1 otherwise, and cable and satellite television, and the servicing of
2 any advertising devices;

3 7. Eggs, feed, supplies, machinery, and equipment purchased by
4 persons regularly engaged in the business of raising worms, fish,
5 any insect, or any other form of terrestrial or aquatic animal life
6 and used for the purpose of raising same for marketing. This
7 exemption shall only be granted and extended to the purchaser when
8 the items are to be used and in fact are used in the raising of
9 animal life as set out above. Each purchaser shall certify, in
10 writing, on the invoice or sales ticket retained by the vendor that
11 the purchaser is regularly engaged in the business of raising such
12 animal life and that the items purchased will be used only in such
13 business. The vendor shall certify to the Oklahoma Tax Commission
14 that the price of the items has been reduced to grant the full
15 benefit of the exemption. Violation hereof by the purchaser or
16 vendor shall be a misdemeanor;

17 8. ~~Sale~~ Sales of natural or artificial gas and electricity, and
18 associated delivery or transmission services, when sold exclusively
19 for residential use. Provided, this exemption shall not apply to
20 any sales tax levied by a city or town, or a county or any other
21 jurisdiction in this state;

22 9. In addition to the exemptions authorized by Section 1357.6
23 of this title, sales of drugs sold pursuant to a prescription
24 written for the treatment of human beings by a person licensed to

1 prescribe the drugs, and sales of insulin and medical oxygen.

2 Provided, this exemption shall not apply to over-the-counter drugs;

3 10. Transfers of title or possession of empty, partially
4 filled, or filled returnable oil and chemical drums to any person
5 who is not regularly engaged in the business of selling, reselling
6 or otherwise transferring empty, partially filled or filled
7 returnable oil drums;

8 11. Sales of one-way utensils, paper napkins, paper cups,
9 disposable hot containers, and other one-way carry out materials to
10 a vendor of meals or beverages;

11 12. Sales of food or food products for home consumption which
12 are purchased in whole or in part with coupons issued pursuant to
13 the federal food stamp program as authorized by Sections 2011
14 through 2036d of Title 7 of the United States Code, as to that
15 portion purchased with such coupons. The exemption provided for
16 such sales shall be inapplicable to such sales upon the effective
17 date of any federal law that removes the requirement of the
18 exemption as a condition for participation by the state in the
19 federal food stamp program;

20 13. Sales of food or food products, or any equipment or
21 supplies used in the preparation of the food or food products to or
22 by an organization which:

- 23 a. is exempt from taxation pursuant to the provisions of
24 Section 501(c)(3) of the Internal Revenue Code of

1 1986, as amended, 26 U.S.C., Section 501(c)(3), and
2 which provides and delivers prepared meals for home
3 consumption to elderly or homebound persons as part of
4 a program commonly known as "Meals on Wheels" or
5 "Mobile Meals", or

6 b. is exempt from taxation pursuant to the provisions of
7 Section 501(c)(3) of the Internal Revenue Code of
8 1986, as amended, 26 U.S.C., Section 501(c)(3), and
9 which receives federal funding pursuant to the Older
10 Americans Act of 1965, as amended, for the purpose of
11 providing nutrition programs for the care and benefit
12 of elderly persons;

13 14. a. Sales of tangible personal property or services to or
14 by organizations which are exempt from taxation
15 pursuant to the provisions of Section 501(c)(3) of the
16 Internal Revenue Code of 1986, as amended, 26 U.S.C.,
17 Section 501(c)(3), and:

18 (1) are primarily involved in the collection and
19 distribution of food and other household products
20 to other organizations that facilitate the
21 distribution of such products to the needy and
22 such distributee organizations are exempt from
23 taxation pursuant to the provisions of Section
24

1 501(c)(3) of the Internal Revenue Code of 1986,
2 as amended, 26 U.S.C., Section 501(c)(3), or
3 (2) facilitate the distribution of such products to
4 the needy.

5 b. Sales made in the course of business for profit or
6 savings, competing with other persons engaged in the
7 same or similar business shall not be exempt under
8 this paragraph;

9 15. Sales of tangible personal property or services to
10 children's homes which are located on church-owned property and are
11 operated by organizations exempt from taxation pursuant to the
12 provisions of the Internal Revenue Code of 1986, as amended, 26
13 U.S.C., Section 501(c)(3);

14 16. Sales of the following:

15 a. computers, data processing equipment, related
16 peripherals, and telephone, telegraph or
17 telecommunications service, and equipment for use in a
18 qualified aircraft maintenance or manufacturing
19 facility. In order to qualify for the exemption
20 provided for by this subparagraph, the cost of the
21 items purchased by the qualified aircraft maintenance
22 or manufacturing facility shall equal or exceed the
23 sum of Two Million Dollars (\$2,000,000.00),
24

1 b. tangible personal property consumed or incorporated in
2 the construction or expansion of a qualified aircraft
3 maintenance or manufacturing facility. For purposes
4 of this subparagraph, sales made to a contractor or
5 subcontractor that has previously entered into a
6 contractual relationship with a qualified aircraft
7 maintenance or manufacturing facility for construction
8 or expansion of such a facility shall be considered
9 sales made to a qualified aircraft maintenance or
10 manufacturing facility,

11 c. aircraft and aircraft parts provided such sales occur
12 at a qualified aircraft maintenance facility including
13 sales of machinery, tools, supplies, equipment, and
14 related tangible personal property and services used
15 or consumed in the repair, remodeling, or maintenance
16 of aircraft or aircraft component parts which occur at
17 a qualified aircraft maintenance facility, and

18 d. aircraft engine repairs, modification, and replacement
19 parts, sales of aircraft frame repairs and
20 modification, aircraft interior modification, and
21 paint, and sales of services employed in the repair,
22 modification, and replacement of parts of aircraft
23 engines, aircraft frame and interior repair and
24 modification, and paint.

1 For purposes of this paragraph, "qualified aircraft maintenance
2 or manufacturing facility" means a new or expanding facility
3 primarily engaged in aircraft repair, building or rebuilding,
4 whether or not on a factory basis, whose total cost of construction
5 exceeds the sum of Five Million Dollars (\$5,000,000.00) and which
6 employs at least two hundred fifty new full-time-equivalent
7 employees, as certified by the Oklahoma Employment Security
8 Commission, upon completion of the facility. ~~In order to qualify
9 for the exemption provided for by this paragraph, the cost of the
10 items purchased by the qualified aircraft maintenance or
11 manufacturing facility shall equal or exceed the sum of Two Million
12 Dollars (\$2,000,000.00)~~ As used in this paragraph, "qualified
13 aircraft maintenance facility" means a facility operated by an air
14 common carrier including one or more component overhaul support
15 buildings or structures in an area owned, leased, or controlled by
16 the air common carrier, at which there were employed at least two
17 thousand full-time-equivalent employees in the preceding year as
18 certified by the Oklahoma Employment Security Commission and which
19 is primarily related to the fabrication, repair, alteration,
20 modification, refurbishing, maintenance, building, or rebuilding of
21 commercial aircraft or aircraft parts used in air common carriage.
22 As used in this paragraph, "air common carrier" shall also include
23 members of an affiliated group as defined by 26 U.S.C., Section
24 1504;

1 17. ~~Sales of tangible personal property consumed or~~
2 ~~incorporated in the construction or expansion of a qualified~~
3 ~~aircraft maintenance or manufacturing facility as defined in~~
4 ~~paragraph 16 of this section. For purposes of this paragraph, sales~~
5 ~~made to a contractor or subcontractor that has previously entered~~
6 ~~into a contractual relationship with a qualified aircraft~~
7 ~~maintenance or manufacturing facility for construction or expansion~~
8 ~~of such a facility shall be considered sales made to a qualified~~
9 ~~aircraft maintenance or manufacturing facility;~~

10 ~~18.~~ Sales of the following telecommunications services:

- 11 a. interstate and international 800 service. "800
12 service" means a telecommunications service that
13 allows a caller to dial a toll-free number without
14 incurring a charge for the call. The service is
15 typically marketed under the name "800", "855", "866",
16 "877" and "888" toll-free calling, and any subsequent
17 numbers designated by the Federal Communications
18 Commission,
- 19 b. interstate and international 900 service. "900
20 service" means an inbound toll telecommunications
21 service purchased by a subscriber that allows the
22 subscriber's customers to call in to the subscriber's
23 prerecorded announcement or live service. 900 service
24 does not include the charge for: collection services

1 provided by the seller of the telecommunications
2 services to the subscriber, or service or product sold
3 by the subscriber to the subscriber's customer. The
4 service is typically marketed under the name "900"
5 service, and any subsequent numbers designated by the
6 Federal Communications Commission,

7 c. interstate and international private communications
8 service. "Private communications service" means a
9 telecommunications service that entitles the customer
10 to exclusive or priority use of a communications
11 channel or group of channels between or among
12 termination points, regardless of the manner in which
13 such channel or channels are connected, and includes
14 switching capacity, extension lines, stations and any
15 other associated services that are provided in
16 connection with the use of such channel or channels,

17 d. value-added nonvoice data service. "Value-added
18 nonvoice data service" means a service that otherwise
19 meets the definition of telecommunications services in
20 which computer processing applications are used to act
21 on the form, content, code or protocol of the
22 information or data primarily for a purpose other than
23 transmission, conveyance, or routing,
24

e. interstate and international telecommunications service which is:

(1) rendered by a company for private use within its organization, or

(2) used, allocated or distributed by a company to its affiliated group,

f. regulatory assessments and charges including charges to fund the Oklahoma Universal Service Fund, the Oklahoma Lifeline Fund and the Oklahoma High Cost Fund, and

g. telecommunications nonrecurring charges including, but not limited to, the installation, connection, change, or initiation of telecommunications services which are not associated with a retail consumer sale;

~~19. 18.~~ Sales of railroad track spikes manufactured and sold for use in this state in the construction or repair of railroad tracks, switches, sidings, and turnouts;

~~20. Sales of aircraft and aircraft parts provided such sales occur at a qualified aircraft maintenance facility. As used in this paragraph, "qualified aircraft maintenance facility" means a facility operated by an air common carrier including one or more component overhaul support buildings or structures in an area owned, leased, or controlled by the air common carrier, at which there were employed at least two thousand full-time equivalent employees in the~~

~~preceding year as certified by the Oklahoma Employment Security Commission and which is primarily related to the fabrication, repair, alteration, modification, refurbishing, maintenance, building, or rebuilding of commercial aircraft or aircraft parts used in air common carriage. For purposes of this paragraph, "air common carrier" shall also include members of an affiliated group as defined by Section 1504 of the Internal Revenue Code of 1986, as amended, 26 U.S.C., Section 1504. Beginning July 1, 2012, the exemption shall include sales of machinery, tools, supplies, equipment, and related tangible personal property and services used or consumed in the repair, remodeling, or maintenance of aircraft, aircraft engines or aircraft component parts which occur at a qualified aircraft maintenance facility;~~

~~21.~~ 19. Sales of machinery and equipment purchased and used by persons and establishments primarily engaged in computer services and data processing:

a. as defined under Industry Group Numbers 7372 and 7373 of the Standard Industrial Classification (SIC) Manual, latest version, which derive at least fifty percent (50%) of their annual gross revenues from the sale of a product or service to an out-of-state buyer or consumer, and

b. as defined under Industry Group Number 7374 of the SIC Manual, latest version, which derive at least eighty

1 percent (80%) of their annual gross revenues from the
2 sale of a product or service to an out-of-state buyer
3 or consumer.

4 Eligibility for the exemption set out in this paragraph shall be
5 established, subject to review by the Tax Commission, by annually
6 filing an affidavit with the Tax Commission stating that the
7 facility so qualifies and such information as required by the Tax
8 Commission. For purposes of determining whether annual gross
9 revenues are derived from sales to out-of-state buyers or consumers,
10 all sales to the federal government shall be considered to be to an
11 out-of-state buyer or consumer;

12 ~~22.~~ 20. Sales of prosthetic devices to an individual for use by
13 such individual. For purposes of this paragraph, "prosthetic
14 device" shall have the same meaning as provided in Section 1357.6 of
15 this title, but shall not include corrective eye glasses, contact
16 lenses, or hearing aids;

17 ~~23.~~ 21. Sales of tangible personal property or services to a
18 motion picture or television production company to be used or
19 consumed in connection with an eligible production. For purposes of
20 this paragraph, "eligible production" means a documentary, special,
21 music video or a television commercial or television program that
22 will serve as a pilot for or be a segment of an ongoing dramatic or
23 situation comedy series filmed or taped for network or national or
24 regional syndication or a feature-length motion picture intended for

1 theatrical release or for network or national or regional
2 syndication or broadcast. The provisions of this paragraph shall
3 apply to sales occurring on or after July 1, 1996. In order to
4 qualify for the exemption, the motion picture or television
5 production company shall file any documentation and information
6 required to be submitted pursuant to rules promulgated by the Tax
7 Commission;

8 ~~24.~~ 22. Sales of diesel fuel sold for consumption by commercial
9 vessels, barges and other commercial watercraft;

10 ~~25.~~ 23. Sales of tangible personal property or services to tax-
11 exempt independent nonprofit biomedical research foundations that
12 provide educational programs for Oklahoma science students and
13 teachers and to tax-exempt independent nonprofit community blood
14 banks headquartered in this state;

15 ~~26.~~ 24. Effective May 6, 1992, sales of wireless
16 telecommunications equipment to a vendor who subsequently transfers
17 the equipment at no charge or for a discounted charge to a consumer
18 as part of a promotional package or as an inducement to commence or
19 continue a contract for wireless telecommunications services;

20 ~~27.~~ 25. Effective January 1, 1991, leases of rail
21 transportation cars to haul coal to coal-fired plants located in
22 this state which generate electric power;

23 ~~28. Beginning July 1, 2005, sales of aircraft engine repairs,~~
24 ~~modification, and replacement parts, sales of aircraft frame repairs~~

1 ~~and modification, aircraft interior modification, and paint, and~~
2 ~~sales of services employed in the repair, modification, and~~
3 ~~replacement of parts of aircraft engines, aircraft frame and~~
4 ~~interior repair and modification, and paint;~~

5 ~~29.~~ 26. Sales of materials and supplies to the owner or
6 operator of a ship, motor vessel, or barge that is used in
7 interstate or international commerce if the materials and supplies:

- 8 a. are loaded on the ship, motor vessel, or barge and
9 used in the maintenance and operation of the ship,
10 motor vessel, or barge, or
11 b. enter into and become component parts of the ship,
12 motor vessel, or barge;

13 ~~30.~~ 27. Sales of tangible personal property made at estate
14 sales at which such property is offered for sale on the premises of
15 the former residence of the decedent by a person who is not required
16 to be licensed pursuant to the Transient Merchant Licensing Act, or
17 who is not otherwise required to obtain a sales tax permit for the
18 sale of such property pursuant to the provisions of Section 1364 of
19 this title; provided:

- 20 a. such sale or event may not be held for a period
21 exceeding three (3) consecutive days,
22 b. the sale must be conducted within six (6) months of
23 the date of death of the decedent, and
24

1 c. the exemption allowed by this paragraph shall not be
2 allowed for property that was not part of the
3 decedent's estate;

4 ~~31.~~ 28. Beginning January 1, 2004, sales of electricity and
5 associated delivery and transmission services, when sold exclusively
6 for use by an oil and gas operator for reservoir dewatering projects
7 and associated operations commencing on or after July 1, 2003, in
8 which the initial water-to-oil ratio is greater than or equal to
9 five-to-one water-to-oil, and such oil and gas development projects
10 have been classified by the Corporation Commission as a reservoir
11 dewatering unit;

12 ~~32.~~ 29. Sales of prewritten computer software that is delivered
13 electronically. For purposes of this paragraph, "delivered
14 electronically" means delivered to the purchaser by means other than
15 tangible storage media;

16 ~~33.~~ 30. Sales of modular dwelling units when built at a
17 production facility and moved in whole or in parts, to be assembled
18 on-site, and permanently affixed to the real property and used for
19 residential or commercial purposes. The exemption provided by this
20 paragraph shall equal forty-five percent (45%) of the total sales
21 price of the modular dwelling unit. For purposes of this paragraph,
22 "modular dwelling unit" means a structure that is not subject to the
23 motor vehicle excise tax imposed pursuant to Section 2103 of this
24 title;

1 ~~34.~~ 31. Sales of tangible personal property or services to:

- 2 a. persons who are residents of Oklahoma and have been
3 honorably discharged from active service in any branch
4 of the Armed Forces of the United States or Oklahoma
5 National Guard and who have been certified by the
6 United States Department of Veterans Affairs or its
7 successor to be in receipt of disability compensation
8 at the one-hundred-percent rate and the disability
9 shall be permanent and have been sustained through
10 military action or accident or resulting from disease
11 contracted while in such active service and registered
12 with the veterans registry created by the Oklahoma
13 Department of Veterans Affairs, or
14 b. the surviving spouse of the person in subparagraph a
15 of this paragraph if the person is deceased and the
16 spouse has not remarried and the surviving spouse of a
17 person who is determined by the United States
18 Department of Defense or any branch of the United
19 States military to have died while in the line of duty
20 if the spouse has not remarried. Sales for the
21 benefit of an eligible person to a spouse of the
22 eligible person or to a member of the household in
23 which the eligible person resides and who is
24 authorized to make purchases on the person's behalf,

1 when such eligible person is not present at the sale,
2 shall also be exempt for purposes of this paragraph.
3 The Oklahoma Tax Commission shall issue a separate
4 exemption card to a spouse of an eligible person or to
5 a member of the household in which the eligible person
6 resides who is authorized to make purchases on the
7 person's behalf, if requested by the eligible person.
8 Sales qualifying for the exemption authorized by this
9 paragraph shall not exceed Twenty-five Thousand
10 Dollars (\$25,000.00) per year per individual while the
11 disabled veteran is living. Sales qualifying for the
12 exemption authorized by this paragraph shall not
13 exceed One Thousand Dollars (\$1,000.00) per year for
14 an unremarried surviving spouse. Upon request of the
15 Tax Commission, a person asserting or claiming the
16 exemption authorized by this paragraph shall provide a
17 statement, executed under oath, that the total sales
18 amounts for which the exemption is applicable have not
19 exceeded Twenty-five Thousand Dollars (\$25,000.00) per
20 year per living disabled veteran or One Thousand
21 Dollars (\$1,000.00) per year for an unremarried
22 surviving spouse. If the amount of such exempt sales
23 exceeds such amount, the sales tax in excess of the
24 authorized amount shall be treated as a direct sales

1 tax liability and may be recovered by the Tax
2 Commission in the same manner provided by law for
3 other taxes including penalty and interest. The Tax
4 Commission shall promulgate any rules necessary to
5 implement the provisions of this paragraph, which
6 shall include rules providing for the disclosure of
7 information about persons eligible for the exemption
8 authorized in this paragraph to the Oklahoma
9 Department of Veterans Affairs, as authorized in
10 Section 205 of this title. For purposes of the
11 exemption authorized by this subparagraph, if the
12 disability determination that would have been made
13 while the disabled veteran was still living is not
14 made final until after the death of the disabled
15 veteran, the exemption authorized by this subparagraph
16 may still be claimed by the surviving spouse;

17 ~~35.~~ 32. Sales of electricity to the operator, specifically
18 designated by the Corporation Commission, of a spacing unit or lease
19 from which oil is produced or attempted to be produced using
20 enhanced recovery methods including, but not limited to, increased
21 pressure in a producing formation through the use of water or
22 saltwater if the electrical usage is associated with and necessary
23 for the operation of equipment required to inject or circulate
24 fluids in a producing formation for the purpose of forcing oil or

1 petroleum into a wellbore for eventual recovery and production from
2 the wellhead. In order to be eligible for the sales tax exemption
3 authorized by this paragraph, the total content of oil recovered
4 after the use of enhanced recovery methods shall not exceed one
5 percent (1%) by volume. The exemption authorized by this paragraph
6 shall be applicable only to the state sales tax rate and shall not
7 be applicable to any county or municipal sales tax rate;

8 ~~36.~~ 33. Sales of intrastate charter and tour bus
9 transportation. As used in this paragraph, "intrastate charter and
10 tour bus transportation" means the transportation of persons from
11 one location in this state to another location in this state in a
12 motor vehicle which has been constructed in such a manner that it
13 may lawfully carry more than eighteen persons, and which is
14 ordinarily used or rented to carry persons for compensation.
15 Provided, this exemption shall not apply to regularly scheduled bus
16 transportation for the general public;

17 ~~37.~~ 34. Sales of vitamins, minerals, and dietary supplements by
18 a licensed chiropractor to a person who is the patient of such
19 chiropractor at the physical location where the chiropractor
20 provides chiropractic care or services to such patient. The
21 provisions of this paragraph shall not be applicable to any drug,
22 medicine, or substance for which a prescription by a licensed
23 physician is required;

1 ~~38.~~ 35. Sales of goods, wares, merchandise, tangible personal
2 property, machinery, and equipment to a web search portal located in
3 this state which derives at least eighty percent (80%) of its annual
4 gross revenue from the sale of a product or service to an out-of-
5 state buyer or consumer. For purposes of this paragraph, "web
6 search portal" means an establishment classified under North
7 American Industry Classification System (NAICS) code 519130 which
8 operates websites that use a search engine to generate and maintain
9 extensive databases of Internet addresses and content in an easily
10 searchable format;

11 ~~39.~~ 36. Sales of tangible personal property consumed or
12 incorporated in the construction or expansion of a facility for a
13 corporation organized under Section 437 et seq. of Title 18 of the
14 Oklahoma Statutes as a rural electric cooperative. For purposes of
15 this paragraph, sales made to a contractor or subcontractor that has
16 previously entered into a contractual relationship with a rural
17 electric cooperative for construction or expansion of a facility
18 shall be considered sales made to a rural electric cooperative;

19 ~~40.~~ 37. Sales of tangible personal property or services to a
20 business primarily engaged in the repair of consumer electronic
21 goods including, but not limited to, cell phones, compact disc
22 players, personal computers, MP3 players, digital devices for the
23 storage and retrieval of information through hard-wired or wireless
24 computer or Internet connections, if the devices are sold to the

1 business by the original manufacturer of such devices and the
2 devices are repaired, refitted or refurbished for sale by the entity
3 qualifying for the exemption authorized by this paragraph directly
4 to retail consumers or if the devices are sold to another business
5 entity for sale to retail consumers;

6 ~~41.~~ 38. On or after July 1, 2019, and prior to July 1, 2024,
7 sales or leases of rolling stock when sold or leased by the
8 manufacturer, regardless of whether the purchaser is a public
9 services corporation engaged in business as a common carrier of
10 property or passengers by railway, for use or consumption by a
11 common carrier directly in the rendition of public service. For
12 purposes of this paragraph, "rolling stock" means locomotives,
13 autocars, and railroad cars and "sales or leases" includes railroad
14 car maintenance and retrofitting of railroad cars for their further
15 use only on the railways;

16 ~~42.~~ 39. Sales of gold, silver, platinum, palladium or other
17 bullion items such as coins and bars and legal tender of any nation,
18 which legal tender is sold according to its value as precious metal
19 or as an investment. As used in the paragraph, "bullion" means any
20 precious metal including, but not limited to, gold, silver,
21 platinum, and palladium, that is in such a state or condition that
22 its value depends upon its precious metal content and not its form.
23 The exemption authorized by this paragraph shall not apply to
24

1 fabricated metals that have been processed or manufactured for
2 artistic use or as jewelry;

3 ~~43.~~ 40. Recovery fees on the rental charge from any item of
4 heavy equipment property rental as provided for in Section 2807.11
5 of this title; and

6 ~~44.~~ 41. Sales of firearm safety devices and gun safety devices.
7 As used in this paragraph:

- 8 a. "firearm safety device" means a gun safe, gun case,
9 gun lock box, trigger lock, barrel lock, or other
10 device that is designed to be used to store a firearm
11 and that is designed to be unlocked only by means of a
12 key, combination, or other similar means, and
- 13 b. "gun safety device" means any integral device to be
14 equipped or installed on a firearm that permits a user
15 to program the firearm to operate only for specified
16 persons designated by the user through computerized
17 locking devices or other means integral to and
18 permanently part of the firearm.

19 SECTION 2. AMENDATORY 68 O.S. 2021, Section 1357.5, is
20 amended to read as follows:

21 Section 1357.5. A. In order to administer the exemption for
22 sales to a qualified aircraft maintenance or manufacturing facility
23 as provided by ~~paragraph 12 of Section 1357 of this title~~
24 subparagraph b of paragraph 16 of Section 1357 of Title 68 of the

1 Oklahoma Statutes, there shall be made a sales tax refund for state
2 and local sales taxes paid by a qualified purchaser for tangible
3 personal property purchased to be consumed or incorporated in the
4 construction or expansion of a qualified aircraft maintenance or
5 manufacturing facility, as defined in paragraph ~~11 of Section 1357~~
6 ~~of this title~~ 16 of Section 1357 of Title 68 of the Oklahoma
7 Statutes, in the state from the account created by this section.

8 B. The Oklahoma Tax Commission shall transfer each month from
9 sales tax collected the amount which the Commission estimates to be
10 necessary to make the sales tax refund provided by this section to
11 an account designated as the Tax Commission determines.

12 C. Any refund shall be paid from the account prescribed by this
13 section at the time the claim for refund is approved by the Oklahoma
14 Tax Commission. The amount of the refund shall not exceed the total
15 state and local sales taxes paid together with accrued interest upon
16 such total. The amount of interest paid to a qualified aircraft
17 maintenance or manufacturing facility upon the principal amount of
18 any refund made to such facility for purposes of administering the
19 exemption provided by ~~paragraph 12 of Section 1357 of this title~~
20 subparagraph b of paragraph 16 of Section 1357 of Title 68 of the
21 Oklahoma Statutes, shall be determined according to the provisions
22 of this subsection. For any month during which the Oklahoma Tax
23 Commission transfers a sum to the account prescribed by subsection B
24 of this section, the Tax Commission shall determine an interest rate

1 by determining the rate of interest paid for a three-month Treasury
2 Bill of the United States government as of the first working day of
3 the month in which the transfer is made. The interest rate so
4 determined shall accrue upon the amount transferred to the account.
5 In each subsequent month, the Tax Commission shall determine the
6 interest rate paid for a three-month Treasury Bill of the United
7 States government as of the first working day of the month and such
8 interest rate shall accrue upon any amount transferred during the
9 month and upon the amounts previously transferred to the account
10 together with interest previously accrued upon such amounts.

11 D. For purposes of this section, state and local sales taxes
12 paid by a contractor or subcontractor for tangible personal property
13 purchased by that contractor or subcontractor to be consumed or
14 incorporated in the construction or expansion of a qualified
15 aircraft maintenance or manufacturing facility pursuant to a
16 contract with a qualified facility shall, upon proper showing, be
17 refunded to the qualified facility.

18 E. The qualified purchaser shall file, within thirty-six (36)
19 months of the date of purchase, with the Oklahoma Tax Commission the
20 following documentation for any refund claimed:

21 1. Invoices indicating the amount of state and local sales tax
22 billed;

23 2. Affidavit of each vendor that state and local sales tax
24 billed has not been audited, rebated, or refunded to the qualified

1 purchaser but rather the sales tax charged has been collected by the
2 vendor and remitted to the Oklahoma Tax Commission; and

3 3. All additional documentation required to be submitted
4 pursuant to rules promulgated by the Oklahoma Tax Commission.

5 F. In the event that state and local sales tax was paid by a
6 contractor or subcontractor, the qualified purchaser shall file with
7 the Oklahoma Tax Commission all documentation required in subsection
8 E of this section but in lieu of the affidavit of each vendor the
9 qualified facility shall file, for any refund claimed, an affidavit
10 from the contractor or subcontractor stating that the sales tax
11 refund of the qualified purchaser is based on state and local sales
12 tax paid by the contractor or subcontractor on tangible personal
13 property purchased to be consumed or incorporated in the
14 construction or expansion of a qualified aircraft maintenance
15 facility and that the amount of state and local sales tax claimed
16 was paid to the vendor and no credit, refund, or rebate has been
17 claimed by the contractor or subcontractor.

18 G. Only sales of tangible personal property made after ~~the~~
19 ~~effective date of this act~~ January 18, 1991, shall be eligible for
20 the refund established by this section.

21 H. The qualified purchaser shall file, within sixty (60) months
22 of the date of the first purchase, with the Oklahoma Tax Commission
23 a certification issued by the Oklahoma Employment Security
24

1 Commission in order to qualify for the refund authorized by this
2 section.

3 SECTION 3. This act shall become effective January 1, 2027.
4

5 COMMITTEE REPORT BY: COMMITTEE ON APPROPRIATIONS AND BUDGET, dated
6 04/23/2026 - DO PASS.
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